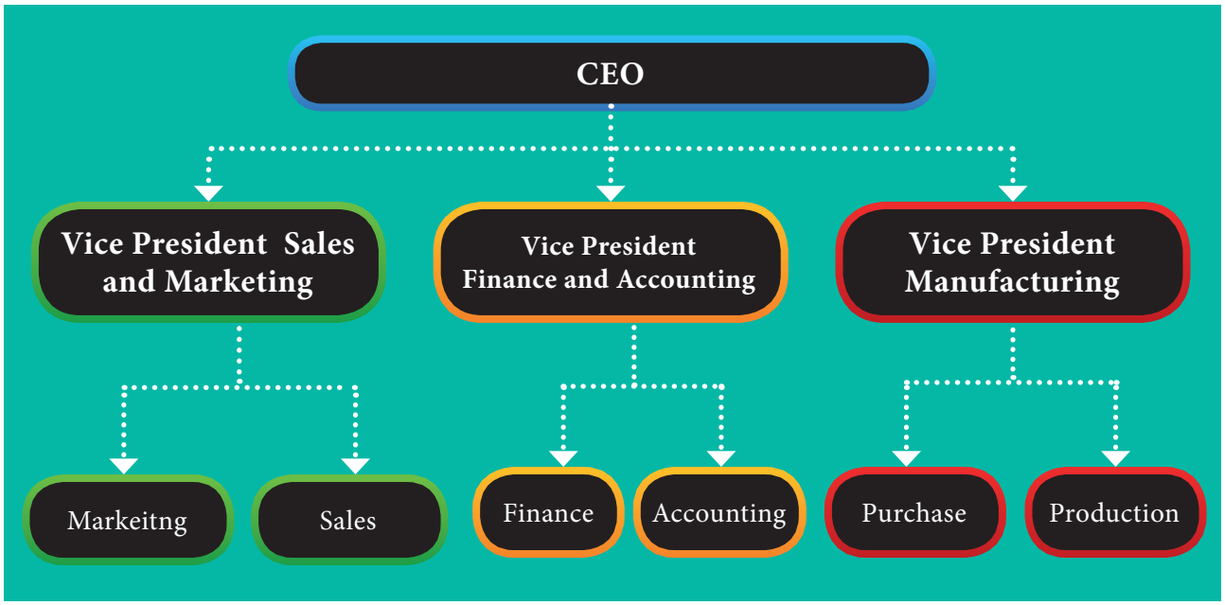


Figure 6.1 Departmentation by Functions

basis of departmentation. If necessary, a major function may be divided into sub-functions. For example, the activities in the production department may be classified into quality control, processing of materials, and repairs and maintenance.

Advantages:

The advantages of functional departmentation include the following:

1. It is the most logical and natural form of departmentation.
2. It ensures the performance of all activities necessary for achieving the organisational objectives.
3. It provides occupational specialisation which makes optimum utilisation of manpower.
4. It facilitates delegation of authority.
5. It enables the top managers to exercise effective control over a limited number of functions.
6. It eliminates duplication of activities.
7. It simplifies training because the managers are experts only in a narrow range of skills.

Disadvantages:

There are some problems associated with functional departmentation. These are mentioned below:

1. There may be conflicts between departments.
2. The scope for management development is limited. Functional managers do not get training for top management positions. The responsibility for results cannot be fixed on any one functional head.
3. There is too much emphasis on specialization.
4. There may be difficulties in coordinating the activities of different departments.
5. There may be inflexibility and complexity of operations.

XII OSS_English version CHAPTER 06.indd 74 1/7/2020 5:57:52 PM